Directors' Report

The directors of Racing Victoria Limited (Racing Victoria or the 'Company') submit herewith the annual financial report of the company for the financial year ended 30 June 2026. In compliance with the provisions of the Corporations Act 2001 (Cth) (Corporations Act), the directors' report follows.

The names of the directors of the Company during or since the end of the financial year are as follows.

CURRENT DIRECTORS



TIM EDDY (Chair)

APPOINTED DIRECTOR 9 DECEMBER 2019 AND CHAIR 21 JUNE 2024

Mr Eddy had a successful 40-year career at Ernst & Young including the positions of Managing Partner Operations - Oceania, Global Vice Chair – EY Global Services and National Managing Partner – EY Transaction Advisory Services. He currently serves as a Director of Western Sydney Airport, Chair of The Red Fox Group, Rennie Advisory and Bio101 Financial Advisory.

Mr Eddy is a member of the Racing Victoria Audit, Risk & Welfare Sub Committee and the Racing Sub Committee. Mr Eddy is Chair of the Racing Victoria & Country Racing Victoria Steering Committee and the Racing Victoria Members Consultative Committee. Mr Eddy is a Director of Racing Australia and is also Chair of Equine Welfare Advisory Council.



TIM ROURKE (Deputy Chair)

APPOINTED DIRECTOR 14 JUNE 2024 AND DEPUTY CHAIR 30 SEPTEMBER 2025

Mr Rourke has extensive business experience and is the current Chief Executive Officer and director of CitiPower, Powercor, United Energy and related companies. Mr Rourke also currently serves as a director of Energy Networks Australia.

Prior to his current appointments, Mr Rourke has held various senior positions across the energy sector since 1995 and is also an active thoroughbred owner and breeder.

Mr Rourke is Chair of the Racing Victoria Audit, Risk & Welfare Sub Committee. Mr Rourke is also a member of the Racing Sub Committee.



AARON MORRISON (CEO)

APPOINTED 20 AUGUST 2024

Prior to his appointment as CEO, Mr Morrison was the Chief Financial Officer / Chief Operating Officer of Racing Victoria since 2017. Mr Morrison has had an extensive career across the entertainment, hospitality and gaming sectors including as Chief Executive Officer of the Sand Hill Road Group and senior executive and advisory positions with Crown Resorts Ltd and SkyCity Entertainment Group.

Mr Morrison is a Director of Racing Victoria subsidiaries; Racing.com Media Pty Ltd, RVL Media Pty Ltd, Thoroughbred Racing Productions (Victoria) Pty Ltd, VTRI Property Pty Ltd, VicRacing Audio Services Pty Ltd (formerly 3UZ Pty Ltd), and VicRacing Pty Ltd.



KATE JOEL

APPOINTED DIRECTOR 9 OCTOBER 2017

Ms Joel has been a business consultant for over 30 years and currently serves on the Board of the Florey Institute of Neuroscience & Mental Health, having served on the Florey Foundation since 2017. Previously, Ms Joel was CEO of Leonard Joel Auction House and was a member of the Melbourne and Olympic Parks Trust and the Board of Harness Racing Victoria. Prior to joining the Board, Kate served on the RV Integrity Council from 2014-2017. Kate grew up riding trackwork and her involvement in the racing industry spans over 55 years.

Ms Joel is Chair of the Racing Integrity & Equine Welfare Sub Committee.



ROSS LANYON OAM

APPOINTED DIRECTOR 9 OCTOBER 2017

Mr Lanyon is the Managing Director of ENG Media which operates in Regional Victoria. He has received an OAM for his services to thoroughbred racing and the Community of Mildura and was the Chair of Country Racing Victoria from 2011 to 2014. Mr Lanyon is Chair of the Mallee Health Foundation and is also a Director of Mildura District Hospital Fund and Clay Hero.

Mr Lanyon is a Director of Thoroughbred Racing Productions (Victoria) Pty Ltd. Mr Lanyon is also a member of the Racing Victoria & Country Racing Victoria Steering Committee and the Racing Integrity & Equine Welfare Sub Committee.

CURRENT DIRECTORS (CONTINUED)



PAUL GUERRA

APPOINTED DIRECTOR 1 MARCH 2022

Mr Guerra has extensive business experience across a breadth of industries including CEO roles at each of the Melbourne Football Club, the Victorian Chamber of Commerce and Industry, and the Royal Agricultural Society of Victoria. Mr Guerra has also held Senior Executive and Director roles across Asia Pacific with UnitedHealth Group, Vodafone and Motorola. Mr Guerra's significant Board experience also includes previous Chairman roles with the Queen Victoria Market and Myagi amongst others.



MARK PLAYER

APPOINTED DIRECTOR 14 JUNE 2024

Mr Player has been a highly respected member of the international thoroughbred racing and breeding industry for more than 25 years, working in senior positions at the Hong Kong Jockey Club and New Zealand Thoroughbred Marketing.

Mr Player founded International Thoroughbred Solutions in 2011, an independent thoroughbred consultancy business where he remains a Director.

Mr Player is Chair of the Racing Sub Committee.



PEITA DUNCAN

APPOINTED DIRECTOR 5 FEBRUARY 2026

Ms Duncan is an experienced racing administrator and company director with more than a decade of governance and leadership experience in the Victorian racing industry and other boards.

Ms Duncan served on the Board of Greyhound Racing Victoria for 10 years, including six years as Chair. Ms Duncan brings extensive experience in governance, integrity and welfare, commercial strategy and stakeholder engagement, with particular strength in government relations and complex regulatory environments.

Ms Duncan is a member of the Racing Integrity & Equine Welfare Sub Committee and the Racing Victoria & Country Racing Victoria Steering Committee.



JONATHAN HARDWICK

APPOINTED DIRECTOR 5 FEBRUARY 2026

Mr Hardwick has extensive business experience and is the current Chief Executive Officer and Owner of HFH Auto Group.

Prior to his current business, Mr Hardwick was Chief Executive Officer of Hardwick Meats Kyneton. He holds a Bachelor of Laws and a Bachelor of Commerce.

Mr Hardwick is a member of the Racing Victoria Audit, Risk & Welfare Sub Committee.

The names of directors of the Company that ceased during or since the end of the financial year are as follows:

Sharon McCrohan Appointed Director 9 October 2017 and Deputy Chair 21 June 2024. Resigned as Deputy Chair and Director 30 September 2025.

OFFICERS

Simonette Foletti Company Secretary; appointed 1 January 2024

PRINCIPAL ACTIVITIES, STRATEGY AND OBJECTIVES

The consolidated entity's principal activities in the course of the financial period were related to the administration and promotion of thoroughbred racing in the State of Victoria.

Racing Victoria has a critical stewardship role to lead the Victorian Thoroughbred Racing Industry (VTRI), with a focus on growing the sport and ensuring the ongoing sustainability of the industry as a whole, for the benefit of all industry stakeholders.

Racing Victoria's key goals and objectives are to:

- ✓ *Manage thoroughbred racing to maintain Victoria's pre-eminence;*
- ✓ *Maintain the highest standards of integrity and equine and participant safety and welfare;*
- ✓ *Manage the racing calendar to maximise engagement;*
- ✓ *Encourage sustainable participation;*
- ✓ *Meet social obligations;*
- ✓ *Optimise economic benefits;*
- ✓ *Ensure efficient operation of the industry;*
- ✓ *Focus on sustainable industry funding;*
- ✓ *Advocate and promote the industry;*
- ✓ *Maintain independence.*

DIVIDENDS

Under the Company's constitution no dividends may be declared or paid.

REVIEW OF OPERATIONS

The net surplus of the consolidated entity for the financial year ended 30 June 2026 was $0.773 million compared to a net deficit of $8.885 million in the prior year.

The consolidated entity reported a net surplus in 2026 following two consecutive years of planned budget deficits. The result reflects the first full reporting period under the revised industry funding framework, together with a continued focus on financial sustainability and disciplined cost management.

The 2026 reported result also reflects the impact of several items outside normal business operations, including matters relating to historical periods, investment return volatility, and one-off strategic initiatives undertaken for the future benefit of the VTRI. Following adjustment, the normalised net surplus result of $3.101 million reflected a significant improvement on the prior year.

Racing Victoria Group (RVG) Result	2026 $ million	2025 $ million
RVG Reported Net Surplus/(Deficit)	**0.773**	**(8.885)**
Restructure liability	-	1.723
VicRacing Audio Services Pty Ltd net asset movement[1]	0.860	2.659
Historical claims	(0.550)	1.386
Investment volatility against expected rate of return	1.163	(0.167)
Participant fuel subsidy support	0.855	-
Other	-	0.585
RVG Normalised Net Surplus/(Deficit)	**3.101**	**(2.699)**

1 Key driver was asset impairment, based on the actual sale price of assets sold by VicRacing Audio Services Pty Ltd

Maintaining returns to owners, participants and clubs remained a strategic priority throughout a period of economic uncertainty. To support this objective, management implemented a business-wide efficiency program over the 2024 to 2026 reporting periods.

After adjusting for non-recurring items and inflation-related expenditure impacts, the program generated gross cumulative operating expenditure savings of $21.393 million, surpassing the $20 million target committed to the industry. The successful delivery of the program demonstrates the consolidated entity's disciplined approach to cost management and operational efficiency, enhancing financial capacity to support strategic industry initiatives while maintaining investment in the long-term sustainability and growth of the racing industry.

RVG Operational Expenditure	2026 $ million	2025 $ million
Operating	59.859	61.658
Wagering services	3.566	4.978
Media operations	47.878	56.821
Reported Operational Expenditure	**111.303**	**123.457**
Adjustments:		
Non BAU – Restructure liability	-	(1.723)
Non BAU – Historical claims	-	(1.386)
Reclassification of prior year amounts	1.529	-
Estimated remuneration and fixed cost inflation[2]	(3.237)	(2.844)
Revised Operational Expenditure	**109.595**	**117.504**
Gross Year-on-Year Reduction Assessment	7.909	

2 Primarily includes labour remuneration increase and contracted expenditure indexation.

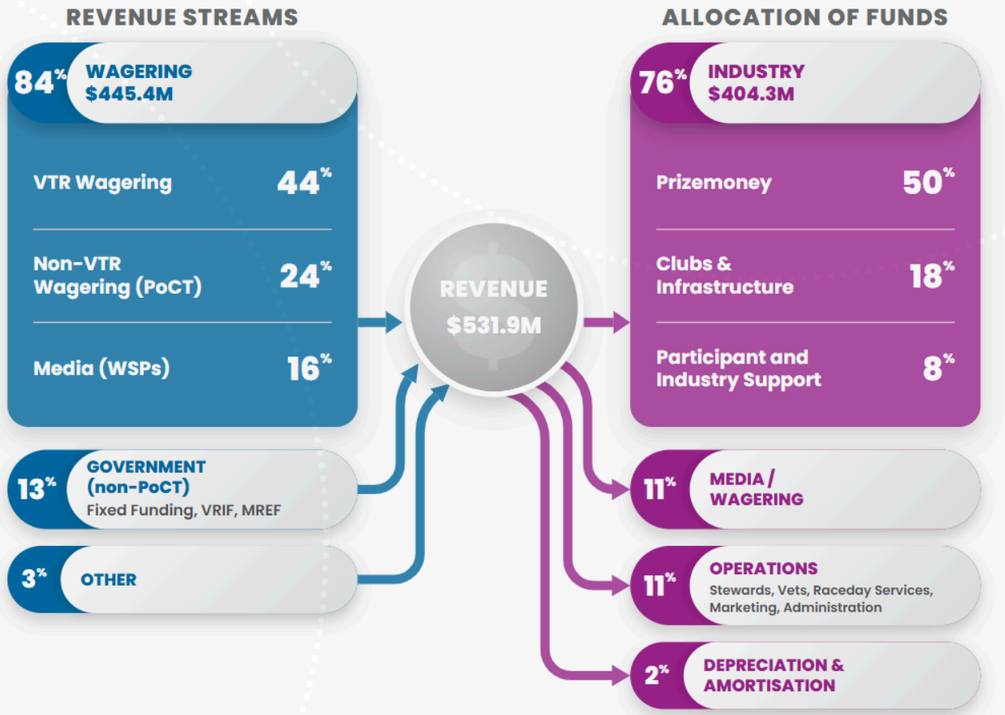
Reporting Period	Gross Reduction $ million
2024	6.863
2025	6.621
2026	7.909
Total	**21.393**

The Racing Victoria business model is designed to generate sufficient revenue to enable ongoing investment in the delivery of world-class racing and to support the long-term sustainability of the VTRI and its various participants and stakeholders.

The consolidated entity has a significant reliance on wagering-related revenue, with approximately 84% of total revenue derived either directly from race fields product fees or indirectly through media rights fees and Point of Consumption Tax (PoCT) distributions, each of which is influenced by wagering activity and performance.

Excluding the expenditure required to govern, operate, administer, market and promote Victorian thoroughbred racing, which represents approximately 11% of total revenue, the majority of Racing Victoria expenditure is directed towards funding, supporting, and growing the industry, its stakeholders and participant base.

The principal areas of income and investment are outlined below.



Revenue

The total revenue from operations increased by 1.0% to $531.882 million versus the prior year (2025: $526.501 million).

Total wagering revenue for the full year decreased by $2.558 million (-1.1%) versus the prior year, reflecting a full year under the revised industry funding framework following the cessation of the VICTAB Joint Venture in August 2024. The transition has materially changed the composition of wagering-related income, with race fields income, PoCT distributions and fixed State Government funding now forming the core wagering funding streams.

Total wagering turnover of approximately $7.39 billion (2025: $7.61 billion) represented a -2.9% decline on the prior year. This headline decline should be considered in the context of a reduced racing program, with approximately 160 fewer races conducted across the year largely reflecting strategic programming changes. On an underlying basis, average turnover per race increased by 0.7%, indicating that the Victorian thoroughbred racing product remained resilient despite ongoing macroeconomic, regulatory and wagering market pressures.

The wagering market continued to be influenced by cost-of-living pressures, higher product fees and taxes, increased regulatory scrutiny and reduced wagering service provider investment in customer marketing and promotions. Free bet turnover decreased by approximately 8.0% year-on-year, reflecting a continued tightening in Wagering Service Provider (WSP) generosities as operators managed margin pressure. These factors continued to place pressure on total turnover, although customer engagement and per-race wagering outcomes showed signs of stabilisation.

Race fields income increased to $228.8 million, up 2.2% on the prior year, despite the decline in total turnover. This outcome was supported by the full-year impact of race fields model changes introduced during the prior reporting period. Average yields remained marginally above prior year.

State Government funding provided an additional source of long-term funding certainty under revised industry distribution arrangements. The result for the reporting period was favourably impacted by a full twelve months of fixed State Government funding, compared with eleven months recognised in the prior period due to the August 2024 commencement date.

Victorian Racing Industry Funding (VRIF) grants were also received to fund infrastructure projects during the period and to support initiatives including major events, owners ticketing, and the VOBIS program.

Media revenue decreased by $2.311 million (-2.7%) to $83.061 million. The decline primarily related to a softening in the wagering advertising market that impacted on the revenue generated by Racing.com.

Funds under investment (excluding withdrawals) increased in value over the period, driven by continued interest income and growth in major financial markets. Total investment revenue, including realised gains/losses, unrealised gains/losses, dividends and interest income, was positive for the year at $3.577 million (2025: $6.359 million). Although investment returns were below budget expectations, the portfolio remained in a positive position despite periods of market volatility and uncertainty experienced throughout 2026.

Expenditure

Total expenditure for the full year decreased to $530.751 million (2025: $533.498 million).

Industry Expenditure

Industry expenditure reflects targeted funding and investment provided to owners, participants and clubs and accounts for the majority of the consolidated entity expenditure (76% of revenue).

- Prizemoney and VOBIS bonuses on offer remained in line with prior year at circa $316 million.

The consolidated entity's contribution towards this expenditure increased marginally by $0.209 million (+0.1%) to $265.970 million. Savings arising from the planned reduced racing program were redirected towards strategic prizemoney enhancements, including key Spring Racing Carnival features and increases to country maiden race prizemoney. The variable nature of items such as bonus strike rates, field sizes, divided races and meeting abandonments also has an impact on the final contribution quantum.

It should be noted that the consolidated entity's reported contribution does not include prizemoney directed to welfare programs, top-up contributions made by clubs and other entities, or any retained amounts.

- Club support including both direct funding and infrastructure related expenditure increased on prior year.

Club funding expenditure increased by $1.469 million (+1.6%) to $91.422 million. The annual increase is largely due to indexation related arrangements and variable club funding streams. Club funding is undertaken in accordance with funding arrangements in place with each club, which have both fixed and performance-based components.

Infrastructure expenditure increased by $1.447 million (+28.2%) to $6.573 million, driven by continued investment in infrastructure projects underway to support club growth and long-term development.

- Industry and participant support spend reflects the continued commitment to support the industry through various initiatives and programs.

This support increased by $3.485 million (+9.5%) to $40.300 million, and most notably includes the participant and thoroughbred welfare programs that are primarily funded through the allocation of a small percentage of prizemoney on offer. Other forms of support include jockey ride fees, jockey insurance coverage, workforce development including the apprentice program, and owner initiatives. The increase on the prior year was primarily driven by rising jockey Workcover costs arising from an uplift in historical claims experience, fuel cost relief subsidies paid to jockeys and trainers, the implementation of new digital ticketing for owners, Victorian bushfire appeal support, and additional one-off support associated with the Australian Racing Museum's display exit from the National Sports Museum to pursue its revised strategy of adopting a more diverse exhibition model that showcases racing's rich history across a broader footprint.

Operational Expenditure (including Operating, Media & Wagering Expenditure)

Total operational expenditure decreased by $12.154 million (-9.8%) to $111.303 million.

Gross operational expenditure on a normalised basis decreased by $7.909 million (-6.7%) compared to the prior year. This outcome enabled the organisation to achieve its $20 million operational expenditure reduction target, as committed to stakeholders, while preserving important industry investments including prizemoney returns. The consolidated entity will continue to review operations and pursue further efficiencies to support sustainable financial outcomes in future periods. Initiatives undertaken during the reporting year included new arrangements across the media operational supply chain and targeted cost reductions within key service and administrative functions.

Operating expenditure captures the core costs of managing and administering the VTRI, including:

- racing operations (including race day services, vets and quarantine);
- integrity and stewarding;
- media and wagering;
- marketing, public relations and communications; and
- executive, strategy, administration, technology, legal, risk and compliance.

Highlighting operational expenditure separate from other expenditure activities allows for better external benchmarking and an assessment of the efficiency of the stewardship of Victorian thoroughbred racing operations. Management continues to pursue cost control and process efficiency improvements across all key activities.

Welfare and Community

Included within industry and operating expenditure is Racing Victoria's continued investment in welfare and community initiatives, as outlined below.

Equine welfare remains fundamental to the sustainability and integrity of the VTRI. Racing Victoria continues to invest in programs and initiatives that support the highest standards of care throughout every stage of a thoroughbred's life, both on and off the racetrack. Total expenditure on equine welfare during the reporting period was $5.063 million.

Racing Victoria also continued to provide essential programs and services that support industry participants and their families, while promoting health, safety and wellbeing across Victorian racing stables and training facilities. Total expenditure on jockey welfare (excluding Workcover) and participant welfare during the reporting period was $2.687 million and $4.438 million, respectively.

Following the devastating bushfires that impacted Victoria in early 2026, the Racing Victoria Bushfire Appeal provided important support to members of the Victorian racing community and bushfire-affected regions more broadly. The appeal raised in excess of $200,000, which contributed to a range of relief initiatives, including support for the Country Fire Authority, livestock transportation, accommodation assistance, and psychological services for affected individuals.

Racing Victoria also made meaningful contributions to a number of charitable and community organisations throughout the reporting period, including a significant contribution of $150,000 to the Good Friday Appeal in partnership with Country Racing Victoria and Southside Racing.

Investment Activities

Racing Victoria holds and invests financial assets on behalf of the VTRI as part of an Industry Sustainability Fund (ISF). The purpose of the ISF is to ensure that the industry retains sufficient funds to protect the long-term sustainability of the industry, support the operating financial position and maintenance of important industry support during times of operational uncertainty, provide funds to support important industry-wide capital infrastructure investments and to assist with finance and investment that may not be otherwise available.

The ISF framework defines its assets as those investments which have a broader industry benefit with an investment or commercial return objective, interest bearing loans with related parties (at discount to market rates), and land earmarked for development with a commercial return.

The consolidated entity engages Evans and Partners to manage and invest accumulated surplus cash that sits outside operating cash requirements. A balanced investment mandate is maintained, with investments made across various asset classes including cash, interest rate securities, Australian and international equities, property, infrastructure and alternative investments. The investment mandate and asset allocations are reviewed on an annual basis together with the governing investment policy.

At 30 June 2026 these financial assets totalled $62.557 million (2025: $57.839 million).

The increase from the prior year reflects the combined effect of growth in investment holdings and net deposits of $2.500 million arising from the surplus cash generated during the reporting period, partially offset by the impact of market volatility.

CHANGES IN STATE OF AFFAIRS

There was no significant change in the state of affairs of the consolidated entity during the financial year.

SUBSEQUENT EVENTS

On 19 August 2026, the Australian Parliament passed the Interactive Gambling Amendment (Gambling Reform) Bill 2026, introducing significant restrictions on wagering advertising and related promotional activities. The reforms are scheduled to commence from 1 January 2027 and are intended to reduce community exposure to wagering advertising and strengthen gambling harm minimisation measures.

Other than as disclosed above, no matter or circumstance has arisen since the end of the reporting period that has significantly affected, or may significantly affect, the operations of the consolidated entity, the results of those operations, or the state of affairs of the consolidated entity in future financial periods.

FUTURE DEVELOPMENTS

Following the passage of the Interactive Gambling Amendment (Gambling Reform) Bill 2026, the consolidated entity will continue to assess the potential implications of the reforms. Uncertainty remains regarding the practical implementation of certain measures by WSPs and the extent to which the reforms may influence wagering activity and industry funding outcomes, noting that racing will be treated differently from other products and may be exempt from some of the restrictions otherwise applicable. The extent to which is still to be determined as regulations are implemented. As a result, the potential financial impact on the consolidated entity, if any, cannot presently be determined with reasonable certainty.

Other than as disclosed above, disclosure of information regarding likely developments in the operations of the consolidated entity and the expected results of those operations in future financial periods would be likely to result in unreasonable prejudice to the consolidated entity. Accordingly, such information has not been included in this report.

DIRECTORS' MEETINGS

The following table sets out the number of directors' meetings and committee meetings held during the financial period and the number of meetings attended by each director (while they were a director or committee member). During the financial year, 12 board meetings, 6 audit risk & welfare committee (ARWSC) meetings, 5 racing committee meetings, and 6 racing integrity & equine welfare committee (RIEWSC) meetings were held.

	BOARD		ARWSC		RACING		RIEWSC	
Directors	Meetings Held	Meetings Attended	Meetings Held	Meetings Attended	Meetings Held	Meetings Attended	Meetings Held	Meetings Attended
Tim Eddy	12	12	6	6	5	5		
Tim Rourke	12	12	6	6	5	5		
Aaron Morrison (CEO)	12	12	6	6	5	5	6	6
Kate Joel	12	11	4	3			6	6
Sharon McCrohan	4	3						
Ross Lanyon OAM	12	12					6	6
Paul Guerra	12	11						
Mark Player	12	12			5	5		
Peita Duncan	6	5					3	3
Jonathan Hardwick	6	5	2	2				

INDEMNIFICATION OF OFFICERS AND AUDITORS

During the financial year, the consolidated entity paid a premium in respect of a contract insuring the directors of the consolidated entity, the company secretary and all executive officers of the consolidated entity and of any related body corporate against a liability incurred as such a director, secretary or executive officer to the extent permitted by the Corporations Act 2001. The contract of insurance prohibits disclosure of the nature of the liability and the amount of the premium.

The consolidated entity has executed deeds of indemnity in favour of each of the directors. Each of these deeds provides for the consolidated entity to indemnify each director to the maximum extent permitted by law against:

- all liabilities incurred by the director as an officer of the consolidated entity and each subsidiary; and
- all legal costs and expenses arising from proceedings or an investigation incurred by the director as an officer of the consolidated entity or of a subsidiary.

The deeds also give the directors a right of access to board papers within their term for a period of seven years after their retirement and require the consolidated entity to maintain insurance cover for the directors. A director's right of access to board papers is subject to protection of the consolidated entity's legal professional privilege rights and to the director keeping the board papers in confidence.

The consolidated entity has not otherwise, during or since the financial year, indemnified or agreed to indemnify any officer or auditor of the consolidated entity or of any related body corporate against a liability incurred by such an officer or auditor.

AUDITOR'S INDEPENDENCE DECLARATION

The auditor's independence declaration is included on page 11 of the financial report and forms part of this directors' report.

ROUNDING OFF OF AMOUNTS

The company is a company of the kind referred to in Corporations (Rounding in Financial/Directors' Reports) Instrument 2026/183, dated 24 March 2026, and in accordance with that Corporations Instrument amounts in the directors' report and the financial statements are rounded off to the nearest thousand dollars, unless otherwise indicated.

Signed in accordance with a resolution of the directors made pursuant to s.298(2) of the Corporations Act 2001.

On behalf of the directors

Chair signature

TIM EDDY
Chair

Melbourne, 21 September 2026

CEO signature

AARON MORRISON
Chief Executive Officer

Melbourne, 21 September 2026

Lead Auditor's Independence Declaration under Section 307C of the Corporations Act 2001

To the Directors of Racing Victoria Limited

I declare that, to the best of my knowledge and belief, in relation to the audit of the financial report of Racing Victoria Limited for the financial year ended 30 June 2026 there have been:

i. no contraventions of the auditor independence requirements as set out in the *Corporations Act 2001* in relation to the audit; and

ii. no contraventions of any applicable code of professional conduct in relation to the audit.

KPMG

Chris Sargent
Partner
Melbourne
21 September 2026

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Independent Auditor's Report

To the members of Racing Victoria Limited

Opinion

We have audited the ***Financial Report*** of Racing Victoria Limited (the Company).

In our opinion, the accompanying Financial Report of the Company gives a true and fair view, including of the ***Group's*** financial position as at 30 June 2026 and of its financial performance for the year then ended, in accordance with the *Corporations Act 2001,* in compliance with *Australian Accounting Standards - Simplified Disclosures* and the *Corporations Regulations 2001*.

The ***Financial Report*** comprises:

- Consolidated Statement of financial position as at 30 June 2026
- Consolidated Statement of surplus or deficit and other comprehensive income, Consolidated Statement of changes in equity, and Consolidated Statement of cash flows for the year then ended
- Consolidated entity disclosure statement and accompanying basis of preparation as at 30 June 2026
- Notes, including material accounting policies
- Directors' Declaration.

The ***Group*** consists of the Company and the entities it controlled at the year end or from time to time during the financial year.

Basis for opinion

We conducted our audit in accordance with *Australian Auditing Standards*. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the Financial Report* section of our report.

We are independent of the Group in accordance with the auditor independence requirements of the *Corporations Act 2001* and the ethical requirements of the APES 110 *Code of Ethics for Professional Accountants (including Independence Standards)* issued by the Accounting Professional and Ethical Standards Board Limited (the Code) that are relevant to our audit of the Financial Report in Australia. We have fulfilled our other ethical responsibilities in accordance with these requirements.

Other Information

Other Information is financial and non-financial information in Racing Victoria Limited's annual report which is provided in addition to the Financial Report and the Auditor's Report. The Directors are responsible for the Other Information.

Our opinion on the Financial Report does not cover the Other Information and, accordingly, we do not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the Financial Report, our responsibility is to read the Other Information. In doing so, we consider whether the Other Information is materially inconsistent with the Financial Report or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

We are required to report if we conclude that there is a material misstatement of this Other Information, and based on the work we have performed on the Other Information that we obtained prior to the date of this Auditor's Report we have nothing to report.

Responsibilities of the Directors for the Financial Report

The Directors are responsible for:

- preparing the Financial Report in accordance with the *Corporations Act 2001*, including giving a true and fair view of the financial position and performance of the Group, and in compliance with *Australian Accounting Standards - Simplified Disclosures* and the *Corporations Regulations 2001*
- implementing necessary internal control to enable the preparation of a Financial Report in accordance with the *Corporations Act 2001*, including giving a true and fair view of the financial position and performance of the Group, and that is free from material misstatement, whether due to fraud or error
- assessing the Group and Company's ability to continue as a going concern and whether the use of the going concern basis of accounting is appropriate. This includes disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless they either intend to liquidate the Group and Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the Financial Report

Our objective is:

- to obtain reasonable assurance about whether the Financial Report as a whole is free from material misstatement, whether due to fraud or error; and
- to issue an Auditor's Report that includes our opinion.

Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with *Australian Auditing Standards* will always detect a material misstatement when it exists.

Misstatements can arise from fraud or error. They are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the Financial Report.

A further description of our responsibilities for the audit of the Financial Report is located at the *Auditing and Assurance Standards Board* website at: https://www.auasb.gov.au/media/apzlwn0y/ar3_2024.pdf. This description forms part of our Auditor's Report.

KPMG

Chris Sargent

Partner

Melbourne

21 September 2026

Directors' Declaration

In the opinion of the directors of Racing Victoria:

(a) the consolidated entity is not publicly accountable;

(b) the financial statements and notes that are set out on pages 15 to 47 are in accordance with the Corporations Act 2001, including:

  (i) giving a true and fair view of Racing Victoria's financial position as at 30 June 2026 and of its performance, for the financial year ended on that date; and

  (ii) complying with Australian Accounting Standards – Simplified Disclosures made by the Australian Accounting Standards Board and the Corporations Act 2001; and

(c) the information disclosed in the Consolidated Entity Disclosure Statement is true and correct; and

(d) there are reasonable grounds to believe that the consolidated entity will be able to pay its debts as and when they become due and payable.

Signed in accordance with a resolution of the directors:

Chair signature

TIM EDDY
Chair

Melbourne, 21 September 2026

CEO signature

AARON MORRISON
Chief Executive Officer

Melbourne, 21 September 2026

Financial statements divider photograph

Consolidated statement of surplus or deficit and other comprehensive income

FOR THE YEAR ENDED 30 JUNE 2026

		30 JUNE 2026	30 JUNE 2025
	NOTE	$'000	$'000
Wagering revenue	2(a)	232,576	235,134
Government funding	2(b)	198,270	186,687
Media revenue	2(c)	83,061	85,372
Other revenue	2(d)	17,975	19,308
		531,882	**526,501**
Prizemoney	2(e)	(265,970)	(265,761)
Club funding	2(e)	(91,422)	(89,953)
Infrastructure expenditure	2(e)	(6,573)	(5,126)
Participant support	2(e)	(28,794)	(28,694)
Industry support	2(e)	(11,506)	(8,121)
Wagering services expenditure	2(f)	(3,566)	(4,978)
Media services expenditure	2(g)	(54,409)	(60,553)
Operating expenditure	2(h)	(59,859)	(61,658)
Depreciation, amortisation and other asset expenditure	2(i)	(8,652)	(8,654)
		(530,751)	**(533,498)**
Share of loss of associates accounted for using the equity method	8	(358)	(1,888)
Surplus / (deficit) before income tax		**773**	**(8,885)**
Income tax expense	23(n)	-	-
Surplus / (deficit) for the year		**773**	**(8,885)**
Other comprehensive income		-	-
Total comprehensive surplus / (deficit) for the year		**773**	**(8,885)**

Notes to the financial statements are included on pages 47 to 82.

Consolidated statement of financial position

AS AT 30 JUNE 2026

	NOTE	30 JUNE 2026 $'000	30 JUNE 2025 $'000
Current Assets			
Cash and cash equivalents	20(a)	21,045	13,812
Trade and other receivables	3	49,112	59,570
Other financial assets	4	69,695	65,166
Prepayments		1,695	3,353
Total Current Assets		141,547	141,901
Non-Current Assets			
Other financial assets	4	11,298	11,325
Property, plant and equipment	5	50,055	51,324
Intangible assets and goodwill	6	24,370	22,743
Right of use assets	7	2,318	2,183
Investments accounted for using the equity method	8	17,506	17,864
Total Non-Current Assets		105,547	105,439
Total Assets		**247,094**	**247,340**
Current Liabilities			
Trade and other payables	9	(34,471)	(35,853)
Unearned revenue	10	(8,022)	(9,853)
Provisions	11	(20,846)	(18,202)
Other financial liabilities	12	(2,898)	(3,106)
Total Current Liabilities		(66,237)	(67,014)
Non-Current Liabilities			
Unearned revenue	10	(2,764)	(3,011)
Provisions	11	(768)	(763)
Total Non-Current Liabilities		(3,532)	(3,774)
Total Liabilities		**(69,769)**	**(70,788)**
Net Assets		**177,325**	**176,552**
Equity			
Issued capital	13	-	-
Retained earnings	14	177,325	176,552
Total Equity		**177,325**	**176,552**

Consolidated statement of cash flows

FOR THE YEAR ENDED 30 JUNE 2026

	NOTE	30 JUNE 2026 $'000	30 JUNE 2025 $'000
Cash flows from operating activities			
Receipts on behalf of the thoroughbred racing industry		588,964	567,833
Payments associated with industry expenditure		(449,254)	(436,818)
Payments associated with all other expenditure		(124,496)	(150,173)
Interest received		453	605
Net cash generated by / (used in) operating activities	20(b)	**15,667**	**(18,553)**
Cash flows from investing activities			
Drawdowns from / (payments for) financial assets (i)		(2,500)	20,000
Earnings received from financial assets		2,232	2,897
Payments for property, plant and equipment		(3,318)	(4,455)
Payments for intangibles		(4,366)	(5,344)
Loan principal and interest repayments received		913	3,624
Proceeds from sale of property, plant and equipment		154	-
Net cash generated by / (used in) investing activities		**(6,885)**	**16,722**
Cash flows from financing activities			
Payments of lease liability		(1,549)	(2,163)
Net cash used in financing activities		**(1,549)**	**(2,163)**
Net increase / (decrease) in cash held		**7,233**	**(3,994)**
Cash at beginning of financial year		13,812	17,806
Cash at the end of financial year	20(a)	**21,045**	**13,812**

Notes to the financial statements are included on pages 47 to 82.

Consolidated statement of changes in equity

FOR THE YEAR ENDED 30 JUNE 2026

	NOTE	ISSUED CAPITAL $'000	RETAINED EARNINGS $'000	TOTAL $'000
Balance at 1 July 2024		**-**	**185,437**	**185,437**
Deficit for the year		-	(8,885)	(8,885)
Balance at 30 June 2025		**-**	**176,552**	**176,552**
Balance at 1 July 2025		**-**	**176,552**	**176,552**
Surplus for the year		-	773	773
Balance at 30 June 2026		**-**	**177,325**	**177,325**

Notes to the financial statements are included on pages 47 to 82.

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

1. Summary of Material Accounting Policies

The material accounting policies adopted in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated. The financial statements are for the consolidated entity consisting of Racing Victoria and its subsidiaries.

Basis of Preparation

Compliance with Australian Accounting Standards – Simplified Disclosures

These consolidated financial statements are general purpose financial statements for distribution to the members and for the purpose of fulfilling the requirements of the Corporations Act 2001. They have been prepared in accordance with Australian Accounting Standards – Simplified Disclosures made by the Australian Accounting Standards Board and the Corporations Act 2001.

For the purposes of preparing the consolidated financial statements, the consolidated entity is a not-for-profit entity. The financial statements were authorised for issue by the directors on 21 September 2026.

Historical Cost Convention

These financial statements have been prepared under the historical cost convention, as modified by the revaluation of financial assets and liabilities (including derivative instruments) at fair value through profit or loss.

The company is a company of the kind referred to in Corporations (Rounding in Financial / Directors' Reports) Instrument 2026/183, dated 24 March 2026, and in accordance with that Corporations Instrument amounts in the directors' report and the financial statements are rounded off to the nearest Australian thousand dollars, unless otherwise indicated.

The financial report has also been prepared in accordance with the terms of various agreements with the members (as defined at below) and the racing industry in Victoria as follows:

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

(i) Establishment of Operations

The consolidated entity was incorporated on 17 December 2001 for the purpose of administering the Victorian thoroughbred racing industry (VTRI) which was previously the responsibility of the Victoria Racing Club (VRC).

On 19 December 2001 the four thoroughbred racing bodies – VRC, Melbourne Racing Club, Moonee Valley Racing Club and Country Racing Victoria (collectively the members) entered into a Members Agreement with the consolidated entity. Under this agreement the members agreed to establish the consolidated entity as the new principal club and governing body for thoroughbred racing in Victoria. The VRC agreed to relinquish its status as the principal club and its role as governing body to facilitate the granting to the consolidated entity of that sole status and role. The consolidated entity has indemnified the VRC against any claims against the VRC arising from its previous operation of the thoroughbred racing industry in Victoria.

(ii) Current Membership

The current membership of Racing Victoria now comprises of:

Club members: Country Racing Victoria, Melbourne Racing Club, Moonee Valley Racing Club, Victoria Racing Club & Cranbourne Pakenham Racing Club. Industry body members: Australian Jumping Racing Association, Australian Services Union (Victorian Branch), Australian Trainers Association (Victorian Division), Australian Workers Union (Victorian Division), Media and Entertainment Arts Alliance, Thoroughbred Breeders Victoria, Thoroughbred Racehorse Owners Association, United Workers Union, Victorian Bookmakers Association & Victorian Jockeys Association.

(iii) Victorian Thoroughbred Racing Industry Revenue and Grants

On 16 August 2012, the Victorian Racing Industry (VRI) entered into joint venture arrangements with the Tabcorp group of companies covering the VRI entitlement to receive a distribution of joint venture profits and other program and product supply fees over a 12-year term. On 18 December 2023, a new Victorian wagering licence was awarded for the period beyond 16 August 2024. In connection with that new licence, the State Government and the VRI confirmed the discontinuation of the historical joint venture industry funding arrangements tied to the Victorian wagering licensee. To provide the VRI with greater certainty of its financial outcomes and to assist the transition to a new industry funding model, the joint venture parties agreed to amend and restate the joint venture arrangements covering the final period of the current licence from 1 June 2023 to 15 August 2024 including transition out. An Umbrella Deed was executed on 1 March 2024 which captured the terms of payments to be made to the VRI by Tabcorp in connection with the winding up and transitioning out of the joint venture.

New industry funding arrangements commencing from 1 July 2024 were agreed between the Victorian State Government and the VRI. These arrangements sought to maintain VRI funding at no less favourable levels to those under the previous joint venture arrangements and included:

- From 1 July 2024, the State Government increased the Point of Consumption Tax (PoCT) levied on wagering by Victorian residents, with the rate of PoCT collected increasing from 10% to 15% of Net Wagering Revenue (NWR). The VRI distribution payment agreed to be paid to the VRI by the State Government increased from 3.5% to 7.5% of NWR effective from the same date.

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

- On 30 August 2024, the VRI together with the State Government executed the VRI Funding Deed. This ten-year agreement, which was backdated to commence on 16 August 2024, provides a new fixed industry distribution stream to the VRI.

The thoroughbred, harness and greyhound racing codes have agreed on an appropriate code sharing arrangement of the above VRI funding.

Material wagering income is also received by the VTRI in the form of race fields fees. Other significant income is generated via the exploitation of media rights in both domestic and international markets held by a fully owned subsidiary RVL Media Pty Ltd, advertising revenues received through owned media assets, returns from investments and the receipt of various Government grants.

The consolidated entity will endeavour to make grants to member clubs having regard to the following principles:

- The consolidated entity will from time to time make grants to members and participants in the Victorian thoroughbred racing industry for the purpose of encouraging thoroughbred racing.

- In making grants, the consolidated entity will seek to:

  (i) adequately support the objectives of the Victorian thoroughbred racing industry;

  (ii) provide incentives for club performance and achievements of industry objectives; and

  (iii) encourage and optimise participation in the ownership of thoroughbred racehorses throughout Victoria by maximising returns to owners through statewide prizemoney strategies and other incentives.

- The clubs further acknowledge that, consistent with the constitution of the consolidated entity, no portion or amount of the income or assets of the consolidated entity may be distributed, paid or transferred directly or indirectly by way of dividend, bonus, or otherwise by way of profit to or amongst the clubs in their capacity as members.

(iv) Retained Profits

Under the terms of the Members Agreement net profit and the ongoing retained profits of the consolidated entity cannot be distributed as dividends to the members.

Material Accounting Policies

The following material accounting policies have been adopted in the preparation and presentation of the financial report:

(a) AASB 15 Revenue from Contracts with Customers

VOBIS nomination fees received are deferred into unearned revenue, to be recognised as revenue in future years based upon the performance obligation of VOBIS bonuses on offer to eligible horses dependent on age.

(b) *Critical Accounting Judgements and Key Sources of Estimation Uncertainty*

In the application of the consolidated entity's accounting policies, which are described above, management is required to make judgements, estimates and assumptions about carrying values of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgements. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods, if the revision affects both current and future periods.

Critical judgements in applying the consolidated entity's accounting policies

Judgements made by management in the application of the consolidated entity's accounting policies that have significant effects on the financial statements and estimates with a significant risk of material adjustments in the next period are disclosed, where applicable, in the relevant notes to the financial statements.

Accounting policies are selected and applied in a manner that ensures that the resulting financial information satisfies the concepts of relevance and reliability, thereby ensuring that the substance of the underlying transactions or other events is reported.

The following are the key assumptions concerning the future, and other key sources of estimation uncertainty at balance date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial period.

- **Impairment of Indefinite Life Intangible Assets**
  As described in note 23(g), the consolidated entity assesses the recoverable amount of indefinite life intangible assets, by estimating the future cash flows, growth and discount rate at the end of each annual reporting period.

- **Provisions**
  As described in note 23(c) and 23(l), the consolidated entity estimates the present value of current obligations based on management estimate for general provisions (including infrastructure expenditure), Workcover, employee provisions at the end of each annual reporting period.

- **Useful lives of Property, Plant & Equipment and Computer Software & Databases**
  As described in note 23(k), the consolidated entity reviews the estimated useful lives of property, plant and equipment at the end of each annual reporting period.

- **Contingent Liabilities**
  The consolidated entity makes judgement on any potential liability that may occur depending on the outcome of an uncertain future event. These liabilities are listed under note 21.

All other material accounting policies adopted in the preparation and presentation of the financial report are included under note 23.

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

2. Surplus / (Deficit) from Operations

Revenue from operations consisted of the following items:

	30 JUNE 2026 $'000	30 JUNE 2025 $'000
(a) Wagering Revenue		
VicTAB joint venture distributions (i)	3,767	11,310
Race fields revenue	228,809	223,824
	232,576	235,134
(b) Government Funding		
PoCT distribution (ii)	129,798	127,361
Fixed industry distribution (iii)	63,000	55,716
Racecourse infrastructure program funding	715	1,699
Other Government funding (iv)	4,757	1,911
	198,270	186,687
(c) Media Revenue		
Media rights revenue	44,656	42,513
Channel sponsorship and advertising revenue	17,452	25,057
Media assets revenue (v)	8,603	8,987
Other media revenue (vi)	12,350	8,815
	83,061	85,372

(i) Joint venture between Tabcorp & VRI ended on 15 August 2024. Reporting year inclusive of payments made by Tabcorp to the VRI in connection with the winding up and transitioning out of the joint venture.

(ii) PoCT distributions are derived from Victorian resident wagering on all products, including sport. The rate of PoCT set by the State Government is 15% of NWR, with an amount equivalent to 7.5% of NWR then being on paid by the State Government to the VRI.

(iii) From 16 August 2024, a ten-year arrangement between the State Government and the VRI commenced that provides a new fixed industry distribution stream to the VRI (refer note 1(iii)).

(iv) State Government funding support of program initiatives including VOBIS, major events, owners ticketing and equine welfare limb injury prevention.

(v) Publications and photography sales revenue.

(vi) Inclusive of arrangements with both Racing SA and the Hong Kong Jockey Club (HKJC).

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

	30 JUNE 2026	30 JUNE 2025
	$'000	$'000
2. Surplus/(Deficit) from Operations (continued)		
(d) Other Revenue		
Racing revenue	3,537	3,393
VOBIS nomination revenue (vii)	3,803	3,835
Customer revenue	1,716	1,295
Industry service recoveries	1,016	1,273
Rental income (viii)	814	1,006
Other revenue	3,512	2,147
	14,398	12,949
Investment income (ix)		
Distribution income	923	1,382
Interest income	2,523	3,025
Dividend income	1,036	729
	4,482	5,136
Other gains and losses (ix)		
Net (loss) / gain on disposal of investments	(525)	215
Net (loss) / gain arising on financial assets designated as FVTPL	(380)	1,008
	(905)	1,223
	17,975	19,308

(vii) Refer note 1(a) for VOBIS nomination revenue recognition methodology.

(viii) Rental from leasehold tenancy arrangements at 400 Epsom Road, Flemington, Victoria.

(ix) Evans and Partners are engaged to manage accumulated surplus funds that sit outside operating cash requirements.

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

	30 JUNE 2026	30 JUNE 2025
	$'000	$'000
2. Surplus/(Deficit) from Operations (continued)		
Surplus/(deficit) has been arrived at after charging the following expenses:		
(e) Industry Expenditure		
Prizemoney		
Prizemoney (x)	253,940	255,695
VOBIS	12,030	10,066
	265,970	265,761
Club funding		
Fixed funding	32,861	32,465
Track and infrastructure funding	15,850	16,785
Wagering funding	9,664	9,817
Media rights funding	33,047	30,886
	91,422	89,953
Infrastructure expenditure		
Infrastructure operations expense	1,307	689
Infrastructure capital vested with clubs (xi)	5,266	4,437
	6,573	5,126
Participant support		
Jockey ride fees	15,134	15,497
Jockey Workcover expense	6,535	5,191
Jockey welfare expense	2,687	3,364
Participant support (xii)	4,438	4,642
	28,794	28,694
Industry support		
Equine welfare expense (xiii)	5,063	5,580
Other industry support (xiv)	6,443	2,541
	11,506	8,121
	404,265	397,655

(x) Whilst VTRI prizemoney and bonuses on offer exceed $316 million, amounts reported exclude contributions from member clubs and other third parties, as well as amounts deducted and retained for equine, jockey and participant welfare contributions (which total 3.5% of prizemoney: 2% equine, 1% jockey, 0.5% participant). Noting participant contributions temporarily increased from 0.5% to 1.0% between 1 February 2024 and 31 July 2025.

(xi) Direct project management by racing clubs.

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

(xii) Participant welfare and workforce development. Reporting year inclusive of fuel subsidy support. Prior year inclusive of commitment to support rising trainer Workcover premiums amongst other initiatives.

(xiii) Investment in the welfare of thoroughbreds, including supporting a range of initiatives before, during and after racing.

(xiv) Owner initiatives and Australian Racing Museum (ARM) support. Reporting year inclusive of additional one-off support to assist the ARM exiting its display from the National Sports Museum, the implementation of digital ticketing for owners, aiding participants impacted by the 2026 Victorian bushfires, and other governance provisioning.

	30 JUNE 2026	30 JUNE 2025
	$'000	$'000
2. Surplus/(Deficit) from Operations (continued)		
(f) Wagering Services Expenditure		
Wagering operations expense (xv)	3,362	4,677
Bookmakers' development fund	204	301
	3,566	4,978
(g) Media Services Expenditure		
Media operations		
Services and administration expense	6,248	7,915
Media operations expense	12,962	13,070
Supply and distribution expense (xvi)	18,619	24,605
Media asset expense (xvii)	6,879	7,146
Other expense (xviii)	3,170	4,085
	47,878	56,821
Media rights		
Media rights expense (xix)	6,531	3,732
	6,531	3,732
	54,409	60,553

(xv) Inclusive of wagering development fund and Herald Sun form guide partnership expenses.

(xvi) Production services including on-course vision, high definition and closed captioning, spectrum rental, infrastructure, connectivity, programming, broadcast advertising share and other supply chain expenditure.

(xvii) Publications and photography cost of sales, and RSN shareholder operating shortfall funding.

(xviii) Inclusive of operating costs for arrangements with both Racing SA and the HKJC.

(xix) Inclusive of Melbourne Cup Carnival and Racing SA rights. The reporting year includes the impact of becoming the international agent for Racing SA rights.

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

	30 JUNE 2026	30 JUNE 2025
	$'000	$'000
2. Surplus/(Deficit) from Operations (continued)		
(h) Operating Expenditure		
Customer		
Marketing and events expense	4,300	3,992
Industry communications expense	978	1,570
	5,278	5,562
Racing		
Raceday services expense	13,538	13,426
Racing operations expense	3,460	3,081
	16,998	16,507
Integrity and veterinary		
Integrity expense	9,317	9,943
Veterinary expense	2,913	2,902
Swabbing expense	2,256	2,282
	14,486	15,127
Administration and other		
Services and administration expense	11,181	10,324
Legal, risk and compliance expense	2,432	2,535
Information technology expense	5,572	6,158
Occupancy expense	2,111	2,578
Fleet costs	645	679
Doubtful debts	414	-
Other expense (xx)	742	2,188
	23,097	24,462
	59,859	61,658
(i) Depreciation, Amortisation and Other Asset Expenditure		
Depreciation - property, plant and equipment	4,432	4,500
Depreciation - right of use assets	1,378	1,696
Amortisation - intangible assets	2,739	2,423
Loss on disposal	103	35
	8,652	8,654

(xx) Prior year inclusive of one-off staff costs due to organisational restructure activity and historical indirect tax liability.

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

	30 JUNE 2026	30 JUNE 2025
	$'000	$'000
2. Surplus/(Deficit) from Operations (continued)		
Expenses from ordinary activities include:		
Employee benefits expense	42,298	45,796
3. Current Trade and Other Receivables		
Trade and sundry receivables (i)	12,309	19,522
Industry funding receivables (ii)	22,022	21,307
Wagering receivables (iii)	15,609	19,156
Allowance for doubtful debts (iv)	(828)	(415)
	49,112	59,570

(i) Most trade receivables arise from transactions with trainers and racing clubs with credit periods provided at 60 and 30 days respectively.

(ii) Amounts to be received through the State Government for the thoroughbred share of the VRI PoCT distribution payment are paid 60 days in arrears.

(iii) Most wagering receivables arise from transactions with WSPs for race fields fees and media rights, with credit periods provided at 15 and 30 days respectively.

(iv) A provision has been made for estimated non-recoverable amounts from receivables, determined by reference to past default experience. Loss allowances for receivables are measured at an amount equal to lifetime Expected Credit Losses (ECLs). When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the consolidated entity considers reasonable and supportable information that is relevant and available without undue cost or effort. This is determined by reference to past default experience.

Allowance for doubtful debts at the beginning of the period	415	343
- Bad debts written off	(51)	(52)
- Doubtful debts movement taken to surplus or deficit	464	124
Allowance for doubtful debts at the end of the period	828	415

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

	30 JUNE 2026	30 JUNE 2025
	$'000	$'000
4. Other Financial Assets		
Current:		
Financial assets designated as FVTPL		
Australian shares	8,288	8,883
International shares	29,378	21,836
Interest-bearing securities	13,788	24,290
	51,454	55,009
Financial assets measured at amortised cost		
Cash investments	11,103	2,830
Cash deposits - jockey apprentices	2,097	2,290
Cash deposits – participant welfare fund	801	816
Loans to related party – Cranbourne Pakenham Racing Club (i) (ii)	4,240	4,221
	18,241	10,157
	69,695	65,166
Non-Current:		
Financial assets measured at amortised cost		
Loans to related party - Victoria Racing Club (ii)	7,906	7,578
Loans to related party – Cranbourne Pakenham Racing Club (ii)	2,514	2,894
Loans to related party - Sports Wagering Integrity Monitoring Ltd (iii)	878	853
	11,298	11,325

(i) Racing Victoria has advanced $4.000 million to Cranbourne Pakenham Racing Club. This loan is connected with a Call Option Deed and will convert to the consideration for the acquisition of development land at Pakenham racecourse following its formal sub-division and title.

(ii) Racing Victoria provided loans to Victoria Racing Club and Cranbourne Pakenham Racing Club. Loan principals of $9.600 million and $4.506 million respectively are provided at discount-to-market rates on deferred repayment terms and are recognised at amortised cost. Repayment timing and discount rates are reviewed and adjusted annually.

(iii) Racing Victoria has provided a loan to Sports Wagering Integrity Monitoring Ltd (SWIM) to fund the capital costs of developing a transaction level wagering and betting monitoring system. Interest is being capitalised at market rates.

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

5. Property, Plant and Equipment

	Buildings	Freehold Land	Infra-structure Capital	Plant & Equipment	Media Assets	Total
	$'000	$'000	$'000	$'000	$'000	$'000
Gross carrying amount (at cost)						
Balance at the beginning of the period	12,216	30,159	1,181	10,644	31,012	85,212
Additions (i)	1,786	-	-	878	654	3,318
Asset disposal	-	-	(1)	(379)	(145)	(525)
Balance at the end of the period	14,002	30,159	1,180	11,143	31,521	88,005
Accumulated Depreciation						
Balance at the beginning of the period	(5,557)	-	(1,052)	(7,291)	(19,988)	(33,888)
Asset disposal	-	-	-	235	135	370
Depreciation expense	(377)	-	(40)	(1,217)	(2,798)	(4,432)
Balance at the end of the period	(5,934)	-	(1,092)	(8,273)	(22,651)	(37,950)
Net Book Value						
As at the beginning of the period	6,659	30,159	129	3,353	11,024	51,324
As at the end of the period	8,068	30,159	88	2,870	8,870	50,055

(i) Inclusive of Apprentice Rider Development Centre, media infrastructure and broadcast truck enhancements.

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

6. Intangible Assets

	Computer software & databases	Mastheads	Goodwill	Racing.com Domain name	Media Software	Total
	$'000	$'000	$'000	$'000	$'000	$'000
Gross carrying amount (at cost)						
Balance at the beginning of the period	21,209	1,351	5,076	947	10,190	38,773
Additions (i)	1,393	-	-	-	2,973	4,366
Balance at the end of the period	22,602	1,351	5,076	947	13,163	43,139
Accumulated Amortisation						
Balance at the beginning of the period	(13,150)	-	-	-	(2,880)	(16,030)
Amortisation expense	(1,371)	-	-	-	(1,368)	(2,739)
Balance at the end of the period	(14,521)	-	-	-	(4,248)	(18,769)
Net Book Value						
As at the beginning of the period	8,059	1,351	5,076	947	7,310	22,743
As at the end of the period	8,081	1,351	5,076	947	8,915	24,370

(i) Inclusive of consolidated entity digital assets and internal software projects supporting Racing Victoria and club assets.

7. Right of Use Assets

	Premises	Production Equipment	Total
	$'000	$'000	$'000
Gross carrying amount (at cost)			
Balance at the beginning of the period	1,616	4,976	6,592
Additions -	-	1,513	1,513
Derecognition of right of use assets	(1,616)	(1,670)	(3,286)
Balance at the end of the period	-	4,819	4,819
Accumulated Depreciation			
Balance at the beginning of the period	(1,449)	(2,960)	(4,409)
Derecognition of right of use assets	1,616	1,670	3,286
Depreciation expense	(167)	(1,211)	(1,378)
Balance at the end of the period	-	(2,501)	(2,501)
Net Book Value			
As at the beginning of the period	167	2,016	2,183
As at the end of the period	-	2,318	2,318

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

8. Investments accounted for using the Equity Method

Name of Entity	Principal Activity	Balance Date	Ownership Interest		Carrying Amount	
			2026	2025	2026	2025
					$'000	$'000
Racing Australia Ltd (i)	Racing Information	30/06/2026	35%	35%	15,326	14,824
VicRacing Audio Services Pty Ltd (previously 3UZ Pty Ltd) (ii)	Racing Audio	30/06/2026	73%	73%	2,180	3,040

	30 JUNE 2026	30 JUNE 2025
	$'000	$'000
Movements in investments in associates		
At the beginning of the financial period	17,864	19,752
Share of net loss	(358)	(1,888)
At the end of the financial period	17,506	17,864

(i) Significant influence is derived over Racing Australia Ltd through the Board's appointment of a nominee director and the exercise of a veto. Pursuant to a shareholder agreement the consolidated entity has the right to cast 35% of the votes at a shareholder meeting.

(ii) The consolidated entity holds a 73.25% interest in VicRacing Audio Services Pty Ltd.

VicRacing Audio Services Pty Ltd has the power to exercise with and only with the authority of a director resolution passed by a majority:

- For a special resolution, this means a resolution of directors passed by a majority that together holds more than 50% of the total voting rights and consists of member representation from at least two code members, or
- For a super special resolution, this means a resolution of directors passed by a majority that together holds more than 50% of the total voting rights and consists of member representation from all three code members.

Therefore, whilst significant influence over the acquired entity exists, the Racing Victoria Group does not have the necessary control for it to form part of the consolidated financial statements and therefore the investment is required to be equity accounted for under AASB 10.

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

	30 JUNE 2026	30 JUNE 2025
	$'000	$'000
9. Current Trade and Other Payables		
Trade and sundry payables	25,685	27,203
Prizemoney payable	4,605	3,577
Media rights payable	4,129	4,720
GST payable	52	353
	34,471	35,853
10. Unearned Revenue		
Current:		
Government receipts (i)	3,856	5,299
VOBIS receipts (ii)	3,658	3,803
Other	508	751
	8,022	9,853
Non-current:		
VOBIS receipts (ii)	2,764	3,011
	2,764	3,011

(i) Fixed industry funding and VRIF projects

(ii) Refer note 1(a) for VOBIS nomination revenue recognition methodology.

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

	30 JUNE 2026	30 JUNE 2025
	$'000	$'000
11. Provisions		
Current:		
Employee benefits	12,421	12,101
Club commitments (i)	3,050	3,828
Other (ii)	5,375	2,273
	20,846	18,202
Non-Current:		
Employee benefits	224	539
Other (ii)	544	224
	768	763

(i) RV funding share of club commitment obligations in line with formalised capital infrastructure plan and major events program.

(ii) Governance provisioning, including pre-1 September 1985 accident claims covered by the Workers Compensation Act 1958. Refer Note 23(I).

12. Other Financial Liabilities		
Jockey apprentice payables	2,097	2,290
Participant welfare fund	801	816
	2,898	3,106

13. Issued Capital

The entity is a company limited by guarantee. Every member undertakes to and must contribute an amount not exceeding $10 in the event of the winding up of the entity.

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

	30 JUNE 2026	30 JUNE 2025
	$'000	$'000
14. Retained Earnings		
Balance at beginning of financial period	176,552	185,437
Net surplus / (deficit)	773	(8,885)
Balance at end of financial period	177,325	176,552

15. Commitments for Expenditure

Spectrum rental and channel support:		
Not later than 1 year	10,633	10,784
Later than 1 year but not later than 5 years	6,550	17,183
	17,183	27,967

Spectrum rental relates to the supply of a dedicated horse racing channel and related content for the VTRI on free-to-air television and Foxtel. Racing Victoria entered a contract with an effective date of 1 July 2025 covering a three-year term.

Channel support service coverage of a fully operational production facility that enables the distribution of Victorian, South Australian, West Australian and other international jurisdiction racing across the broadcast channel. Racing Victoria entered a contract with an effective date of 1 July 2025 covering a two-year term.

16. Key Management Personnel Remuneration

The aggregate compensation of key management personnel (which includes the CEO and all members of the Executive Management Team and all Directors of the consolidated entity) is set out below:

Management		
Short-term employee benefits	3,787	3,160
Other long-term benefits	63	217
Termination benefits	229	216
	4,079	3,593
Non-executive directors		
Short-term employee benefits	930	912
Other long-term benefits	2	24
	932	936

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

	30 JUNE 2026	30 JUNE 2025
	$	$
17. Remuneration of Auditors		
Audit of the financial report	135,604	132,945
	135,604	132,945

The auditor of Racing Victoria Limited is KPMG.

	30 JUNE 2026	30 JUNE 2025
	$'000	$'000
18. Parent Entity Financial Information		
Assets		
Current assets	120,382	130,793
Non-current assets	151,140	134,224
Total assets	271,522	265,017
Liabilities		
Current liabilities	49,225	50,006
Non-current liabilities	3,380	3,629
Total liabilities	52,605	53,635
Shareholders' equity		
Retained earnings	218,917	211,382
Total equity	218,917	211,382
Surplus for the period	7,536	7,056
Total comprehensive income for the period	7,536	7,056

All contingent liabilities of the parent company are consistent with those listed in note 21 of the consolidated entity.

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

19. Related Party Disclosures

(a) Equity interests in associates

Details of interests in associates are disclosed in note 8 to the financial statements.

(b) Key management personnel compensation

Details of key management personnel compensation including directors are disclosed in note 16 to the financial statements.

(c) Transactions with key management personnel

During the financial period the consolidated entity did not enter into any transactions with related entities of key management personnel.

During the financial period the consolidated entity entered into transactions with the following entities that require key management personnel to act in the capacity of director as part of their Racing Victoria employment – VicRacing Pty Ltd, Australian Racing Museum Ltd, Racing Australia Ltd, Racing Analytical Services Ltd, VicRacing Audio Services Pty Ltd (previously 3UZ Pty Ltd or RSN), and Sports Wagering Integrity Monitoring Ltd. These transactions included both revenue and operational expenditure, with expenditure incurred only after approval by the Racing Victoria Board. The consolidated entity also provided administrative services to some of these director related entities on normal commercial terms and conditions as agreed by the parties.

	REVENUE	EXPENDITURE
	$'000	$'000
VicRacing Pty Ltd	195,866	-
Australian Racing Museum Ltd	107	240
Racing Australia Ltd	184	2,679
Racing Analytical Services Ltd	536	2,085
3UZ Pty Ltd (RSN)	12	707
Sports Wagering Integrity Monitoring Ltd	26	-
	196,731	**5,711**

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

(d) Other related party disclosures

Transactions with member related entities

During the financial period the consolidated entity entered into transactions with current membership entities of Racing Victoria. These member entities comprise club members and industry body members as listed under the current membership within note 1 of the financial report. These transactions included revenue and expenditure, with expenditure incurred only after approval by the Racing Victoria Board. The consolidated entity also provided loans to some club members on terms and conditions as agreed by the parties, refer to note 4.

Ownership of racehorses

Key management personnel, including certain directors, participate in the thoroughbred racing industry via means of ownership of racehorses either individually or through related entities. This involvement is on terms and conditions no more favourable than other participants in the thoroughbred racing industry. Key management personnel stand aside from decision making as required to manage potential conflicts of interest.

(e) List of subsidiaries

Set out below is a list of material subsidiaries of the Company.

- Racing.com Media Pty Ltd – Australia, 100% ownership interest (2025: 100%)
- RVL Media Pty Ltd – Australia, 100% ownership interest (2025: 100%)
- Racing.com Pty Ltd – Australia, 0% ownership interest (2025: 100%)
- Thoroughbred Racing Productions Pty Ltd – Australia, 100% ownership interest (2025: 100%)
- VTRI Property Pty Ltd – Australia, 100% ownership interest (2025: 100%)

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

	30 JUNE 2026	30 JUNE 2025
	$'000	$'000

20. Notes to the Statement of Cash Flows

(a) Reconciliation of cash

For the purpose of the statement of cash flows, cash and cash equivalents includes cash on hand and in banks, net of outstanding bank overdrafts. Cash and cash equivalents at the end of the financial period as shown in the statement of cash flows is reconciled to the related items in the statement of financial position as follows:

Cash at bank	21,045	13,812

(b) Reconciliation of net surplus / (deficit) to net cash generated by / (used in) operating activities

Surplus / (deficit) from ordinary activities	773	(8,885)
Share of associate losses	358	1,888
Depreciation and amortisation of non-current assets	8,549	8,619
Managed investment gain	(4,451)	(7,781)
Loan discount unwind	(907)	(867)
Changes in net assets and liabilities:		
(Increase) / decrease in:		
Receivables	10,458	(7,192)
Prepayments	1,662	(1,158)
Increase / (decrease) in:		
Payables	(1,347)	(5,158)
Unearned revenue	(2,078)	4,179
Provisions	2,650	(2,198)
Net cash generated by / (used in) operating activities	15,667	(18,553)

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

21. Contingent Liabilities

- Under the Deed of Contribution and Indemnity with the Victoria Racing Club (VRC), the consolidated entity has indemnified the VRC against any claims against the VRC arising from its previous operation of the thoroughbred racing industry in Victoria.
- Racing Victoria has guaranteed a loan facility of Cranbourne Pakenham Racing Club Inc. of $19.017 million (2025: $19.547 million).
- Racing Victoria holds capital commitment obligations to clubs in line with its formalised infrastructure plan. Whilst it appropriately provides for these projects following formal submission to the State Government VRIF program, there remain other projects where a commitment has been made to the club, however it is yet to reach the constructive obligation stage in the cycle.
- From time to time the consolidated entity may be subject to legal claims, however at signing date the awareness and quantum of any such claims remain unknown.

22. Subsequent Events

On 19 August 2026, the Australian Parliament passed the Interactive Gambling Amendment (Gambling Reform) Bill 2026, introducing significant restrictions on wagering advertising and related promotional activities. The reforms are scheduled to commence from 1 January 2027 and are intended to reduce community exposure to wagering advertising and strengthen gambling harm minimisation measures.

Other than as disclosed above, no matter or circumstance has arisen since the end of the reporting period that has significantly affected, or may significantly affect, the operations of the consolidated entity, the results of those operations, or the state of affairs of the consolidated entity in future financial periods.

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

23. Material Accounting Policies

The following material accounting policies have been adopted in the preparation and presentation of the financial report:

(a) Borrowings and Borrowing Costs

Borrowings are recorded initially at fair value, net of transaction costs. Subsequent to initial recognition, borrowings are measured at amortised cost with any difference between the initial recognised amount and the redemption value being recognised in profit and loss over the period of the borrowing using the effective interest rate method.

Other borrowing costs are recognised as an expense in the period in which they are incurred.

(b) Cash and Cash Equivalents

Cash comprises cash on hand and demand deposits. Cash equivalents are short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value.

(c) Employee Benefits

A liability is recognised for benefits accruing to employees in respect of wages and salaries, annual leave, long service leave, and sick leave when it is probable that settlement will be required, and they are capable of being measured reliably.

Liabilities recognised in respect of employee benefits expected to be settled within 12 months are measured at their nominal values, using the remuneration rate expected to apply at the time of settlement.

Liabilities recognised in respect of employee benefits which are not expected to be settled within 12 months are measured as the present value of the estimated future cash outflows to be made by the consolidated entity in respect of services provided by employees up to the reporting date.

(d) Financial assets

Classification and measurement of financial assets

All recognised financial assets that are within the scope of AASB 9 are required to be subsequently measured at amortised cost or fair value on the basis of the entity's business model for managing the financial assets and the contractual cash flow characteristics of the financial assets. Specifically:

- debt investments that are held within a business model whose objective is to collect the contractual cash flows, and that have contractual cash flows that are solely payments of principal and interest on the principal amount outstanding, are subsequently measured at amortised cost;
- all other debt investments and equity investments are subsequently measured at fair value through profit and loss (FVTPL).

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

Despite the foregoing, the consolidated entity may make the following irrevocable election/designation at initial recognition of a financial asset:

- the consolidated entity may irrevocably elect to present subsequent changes in fair value of an equity investment that is neither held for trading nor contingent consideration recognised by an acquirer in a business combination to which IFRS 3 applies in other comprehensive income; and
- the consolidated entity may irrevocably designate a debt investment that meets the amortised cost or fair value through other comprehensive income (FVTOCI) criteria as measured at FVTPL if doing so eliminates or significantly reduces an accounting mismatch.

Debt instruments that are subsequently measured at amortised cost or at FVTOCI are subject to impairment testing.

Impairment of financial assets

In relation to the impairment of financial assets, AASB 9 requires an expected credit loss (ECL) model as opposed to an incurred credit loss model under IAS 39. The ECL model requires the consolidated entity to account for expected credit losses and changes in those expected credit losses at each reporting date to reflect changes in credit risk since initial recognition of the financial assets. In other words, it is no longer necessary for a credit event to have occurred before credit losses are recognised.

The consolidated entity reviewed its related party loan receivables for impairment under the General Approach to determine whether there has been a Significant Increase in Credit Risk (SICR) since initial recognition and whether loans are credit impaired. This determines whether the loans are in Stage 1, Stage 2, or Stage 3, which in turn determines both;

- the amount of ECL to be recognised: 12-month ECL or Lifetime ECL; and
- the amount of interest income to be recognised in future reporting periods: Effective Interest Rate (EIR) based on gross carrying amount of the loan which excludes ECL or the net carrying amount (i.e. the amortised cost) which includes ECL.

Lifetime ECL are the ECL that result from all possible default events over the expected life of loans whereas 12-month ECL are a portion of Lifetime ECL that represent the ECL that result from default events that are possible within 12 months of the reporting date.

The consolidated entity reviewed its related party loans and assessed that none of the loans have suffered SICR with no further credit losses recognised within 12 months of the reporting date.

Loss allowances for trade receivables are measured at an amount equal to lifetime ECLs. When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the consolidated entity considers reasonable and supportable information that is relevant and available without undue cost or effort. This is determined by reference to past default experience.

(e) Financial Instruments issued by the consolidated entity

Debt and Equity Instruments

Debt and equity instruments are classified as either liabilities or as equity in accordance with the substance of the contractual arrangement.

Interest

Interest is classified as an expense consistent with the balance sheet classification of the related debt.

(f) Goods and Services Tax

Revenues, expenses and assets are recognised net of the amount of goods and services tax (GST), except:

(i) where the amount of GST incurred is not recoverable from the taxation authority, it is recognised as part of the cost of acquisition of an asset or as part of an item of expense; or

(ii) for trade receivables and payables which are recognised inclusive of GST.

The net amount of GST recoverable from, or payable to, the taxation authority is included as part of receivables or payables.

Cash flows are included in the statement of cash flows on a gross basis. The GST component of cash flows arising from investing and financing activities which is recoverable from or payable to the taxation authority is classified as operating cash flows.

(g) Impairment of Other Tangible and Intangible Assets

At each reporting date, the consolidated entity reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated to determine the extent of the impairment loss (if any). Where the asset does not generate cash flows that are independent from other assets, the consolidated entity estimates the recoverable amount of the cash generating unit to which the asset belongs.

Where a reasonable and consistent basis can be identified, corporate assets are also allocated to individual cash generating units, otherwise they are allocated the smallest group of cash generating units for which a reasonable and consistent allocation basis can be identified.

Intangible assets with indefinite useful lives and intangible assets not yet available for use are tested for impairment annually and whenever there is an indication that the asset may be impaired.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a post-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted. Notwithstanding this, value in use is depreciated replacement cost of an asset when the future economic benefits of the asset are not primarily dependent on the asset's ability to generate net cash inflows and where the consolidated entity would, if deprived of the asset, replace its remaining future economic benefits. If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised in profit or loss immediately, unless the relevant asset is carried at fair value, in which case the impairment loss is treated as a revaluation decrease.

Where an impairment loss subsequently reverses, the carrying amount of the asset (cash-generating unit) is increased to the revised estimate of its recoverable amount, but only to the extent that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (cash-generating unit) in prior periods.

A reversal of an impairment loss is recognised in profit or loss immediately, unless the relevant asset is carried at fair value, in which case the reversal of the impairment loss is treated as a revaluation increase.

(h) Intangible Assets

Capitalised Software and Databases

Capitalised software is recorded at cost less accumulated amortisation and impairment. Amortisation is charged on a straight-line basis over the estimated useful life of the software being three to five years.

Configuration and customisation of a third-party's cloud-based software, in a Software as a Service (SaaS) computing arrangement, are expensed in line with IFRS Interpretations Committee accounting guidelines released in April 2021.

Mastheads

Mastheads recognised by the Group by nature have an indefinite useful life and are not amortised. Each period, the useful life of this asset is reviewed to determine whether events and circumstances continue to support an indefinite useful life assessment for the asset. Such assets are tested for impairment in accordance with the policy stated in note 23(g).

Domain Names

Domain Names recognised by the Group have an indefinite useful life and are not amortised. Each period, the useful life of this asset is reviewed to determine whether events and circumstances continue to support an indefinite useful life assessment for the asset. Such assets are tested for impairment in accordance with the policy stated in note 23(g).

(i) Leased Assets

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

As a Lessee

At commencement or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for the leases of property the Group has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

The Group recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Group by the end of the lease term or the cost of the right-of-use asset reflects that the Group will exercise a purchase option. In that case the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability. The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Group's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

The Group determines its incremental borrowing rate by obtaining interest rates from various external financing sources and makes certain adjustments to reflect the terms of the lease and type of the asset leased. Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments;
- variable lease payments that depend on an index or a rate, initially measured using the index or rate at the commencement date;
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, if the Group changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

(j) Payables

Trade payables and other accounts payable are recognised when the consolidated entity becomes obliged to make future payments resulting from the purchase of goods and services. Trade and other payables are stated at amortised cost.

(k) Property, Plant and Equipment

Plant and equipment, buildings and infrastructure capital are stated at cost less accumulated depreciation and impairment. Cost includes expenditure that is directly attributable to the acquisition of the item. In the event that settlement of all or part of the purchase consideration is deferred, cost is determined by discounting the amounts payable in the future to their present value as at the date of acquisition.

Depreciation is recognised on property, plant and equipment, including freehold buildings but excluding land. Depreciation is calculated on a straight-line basis to write-off the net cost or other revalued amount of each asset over its expected useful life to its residual value. Leasehold improvements are depreciated over the period of the lease or estimated useful life; whichever is the shorter, using the straight-line method. The estimated useful lives, residual values and depreciation method are reviewed at the end of each annual reporting period, with effect of any changes recognised on a prospective basis.

The following estimated useful lives are used in the calculation of depreciation:

- Buildings and Improvements 10 to 40 years
- Plant and Equipment 2 to 20 years
- Infrastructure Capital 5 to 10 years

During the period the consolidated entity undertook the management of projects which are part of the capital infrastructure program. These projects are individually assessed for appropriateness of recognition as assets within the consolidated statement of financial position of the consolidated entity. The key elements for recognition of any capital expenditure as an asset are control and ensuring that future economic benefits will flow to the consolidated entity.

(l) Provisions

Provisions are recognised when the consolidated entity has a present obligation (legal or constructive) as a result of a past event, it is probable that the consolidated entity will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation, the future sacrifice for economic benefits is probable, and the amount of the provision can be measured reliably.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at reporting date, taking into account the risks and uncertainties surrounding the obligation. Where a provision is measured using the cashflows estimated to settle the present obligation, its carrying amount is the present value of those cashflows.

When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, the receivable is recognised as an asset if it is virtually certain that reimbursement will be received, and the amount of the receivable can be measured reliably.

Infrastructure

Racing Victoria holds capital commitment obligations to Clubs in line with its formalised infrastructure plan. These approved infrastructure projects are appropriately provided for following formal submission to the State Government's VRIF program. The provision is reviewed annually by management having regard to the most recent infrastructure schedule and the status of each project within.

Accident Insurance Fund

Prior to 1 September 1985 the Fund was an authorised insurer for the purposes of the Workers Compensation Act 1958. The provision for outstanding claims is disclosed at note 11. The provision is reviewed annually by management having regard for material events impacting the calculation of the provision.

(m) Revenue

The consolidated entity recognises revenue when it transfers control over a product or service to a customer. Revenue is measured at the fair value of the consideration received or receivable. Revenue is reduced for estimated customer returns, rebates and other similar allowances.

Wagering Revenue

Thoroughbred racing industry revenue is recognised when receivable under the joint venture agreements with the Tabcorp group of companies.

Race fields revenue is recognised when receivable under the policy applied to all licensed wagering service providers for the publication and use of Victorian thoroughbred race fields.

Rendering of Services

Revenue from a contract to provide services is recognised by reference to the stage of completion of the contract. The stage of the contract is determined as follows:

- installation fees are recognised by reference to the stage of completion of the installation, determined as the proportion of the total time expected to install that has elapsed at reporting date;

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

- servicing fees included in the price of products sold are recognised by reference to the proportion of the total cost of providing the servicing for the product sold, considering historical trends in the number of services actually provided on past goods sold; and
- revenue from time and material contracts is recognised at the contractual rates as labour hours are delivered and direct expenses incurred.

Contributions of Assets

Revenue arising from the contribution of assets is recognised when the consolidated entity gains control of the contribution or the right to receive the contribution.

Interest Revenue

Interest revenue is accrued on a time basis, by reference to the principal outstanding and effective interest rate applicable, which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to the assets carrying amount.

Government Grants

Government grants are not recognised until there is reasonable assurance that the consolidated entity will comply with the conditions attaching to them and that the grants will be received.

Government grants are recognised in profit or loss on a systematic basis over the periods in which the consolidated entity recognises as expenses the related costs for which the grants are intended to compensate. Specifically, Government grants whose primary condition is that the consolidated entity should purchase, construct or otherwise acquire non-current assets are recognised as deferred revenue in the consolidated statement of financial position and transferred to profit or loss on a systematic and rational basis over the useful lives of the related assets.

Government grants that are receivable as compensation for expenses or losses already incurred or for the purpose of giving immediate financial support to the consolidated entity with no future related costs are recognised in profit or loss in the period in which they become receivable.

VOBIS Nominations

VOBIS nomination fees received are deferred into unearned revenue, to be recognised as revenue in future years based upon the performance obligation of VOBIS bonuses on offer to eligible horses dependent on age.

(n) Income Tax

The consolidated entity is exempt from Income Tax under section 50-45 of the Income Tax Assessment Act.

(o) Investments in Associates

An associate is an entity over which the consolidated entity has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies.

The results and assets and liabilities of associates are incorporated in these consolidated financial statements using the equity method of accounting, except when the investment, or a portion thereof, is classified as held for sale, in which case it is accounted for in accordance with AASB 5. Under the equity method, an investment in an associate is initially recognised in the consolidated statement of financial position at cost and adjusted thereafter to recognise the Group's share of the profit or loss and other comprehensive income of the associate.

An investment in an associate is accounted for using the equity method from the date on which the investee becomes an associate. On acquisition of the investment in an associate, any excess of the cost of the investment over the Group's share of the net fair value of the identifiable assets and liabilities of the investee is recognised as goodwill, which is included within the carrying amount of the investment. Any excess of the Group's share of the net fair value of the identifiable assets and liabilities over the cost of the investment, after reassessment, is recognised immediately in profit or loss in the period in which the investment is acquired.

The requirements of AASB 9 are applied to determine whether it is necessary to recognise any impairment loss with respect to the Group's investment in an associate. When necessary, the entire carrying amount of the investment (including goodwill) is tested for impairment in accordance with AASB 136 'Impairment of Assets' as a single asset by comparing its recoverable amount (higher of value in use and fair value less costs of disposal) with its carrying amount, any impairment loss recognised forms part of the carrying amount of the investment. Any reversal of that impairment loss is recognised in accordance with AASB 136 to the extent that the recoverable amount of the investment subsequently increases.

The Group discontinues the use of the equity method from the date when the investment ceases to be an associate, or when the investment is classified as held for sale.

(p) Subsidiaries

The consolidated financial statements incorporate the assets and liabilities of all subsidiaries of Racing Victoria (''consolidated entity'' or ''parent entity'') as at 30 June 2026 and the results of all subsidiaries for the period then ended. Racing Victoria and its subsidiaries together are referred to in this financial report as the group or the consolidated entity.

Subsidiaries are all entities (including special purpose entities) over which the consolidated entity has control. Control is achieved when the Company:

- has power over the investee;
- is exposed, or has rights, to variable returns from its involvement with the investee; and
- has the ability to use its power to affect its returns.

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

The Company reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control listed above. When the Company has less than a majority of the voting rights of an investee, it has power over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally. The Company considers all relevant facts and circumstances in assessing whether or not the Company's voting rights in an investee are sufficient to give it power, including:

- the size of the Company's holding of voting rights relative to the size and dispersion of holdings of the other vote holders;
- potential voting rights held by the Company, other vote holders or other parties;
- rights arising from other contractual arrangements; and
- any additional facts and circumstances that indicate that the Company has, or does not have, the current ability to direct the relevant activities at the time that decisions need to be made, including voting patterns at previous shareholders' meetings.

Consolidation of a subsidiary begins when the Company obtains control over the subsidiary and ceases when the Company loses control of the subsidiary. Specifically, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated statement of profit or loss and other comprehensive income from the date the Company gains control until the date when the Company ceases to control the subsidiary.

Surplus or deficit and each component of other comprehensive income are attributed to the owners of the Company.

When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with the Group's accounting policies.

All intragroup assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation. Investments in subsidiaries are recognised at cost.

(q) Parent Entity Financial Information

The financial information for the parent entity, Racing Victoria Limited, disclosed in note 18 has been prepared on the same basis as the consolidated financial statements.

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

(r) Goodwill

Goodwill arising on an acquisition of a business is carried at cost as established at the date of the acquisition of the business less accumulated impairment losses, if any.

For the purposes of impairment testing, goodwill is allocated to each of the Group's cash-generating units (or groups of cash-generating units) that is expected to benefit from the synergies of the combination.

A cash-generating unit to which goodwill has been allocated is tested for impairment annually, or more frequently when there is an indication that the unit may be impaired. If the recoverable amount of the cash-generating unit is less than its carrying amount, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro rata based on the carrying amount of each asset in the unit. Any impairment loss for goodwill is recognised directly in profit or loss. An impairment loss recognised for goodwill is not reversed in subsequent periods.

On disposal of the relevant cash-generating unit, the attributable amount of goodwill is included in the determination of the profit or loss on disposal.

(s) New Accounting Standards and Interpretations

The Group adopted the following standard and amendments which did not have any impact on the amounts recognised in current or prior periods.

From 1 July 2024:

- AASB 2023-1 Amendments to Australian Accounting Standards – Supplier Finance Arrangements
- AASB 2020-1 Amendments to Australian Accounting Standards – Classification of Liabilities as Current or Non-current
- AASB 2020-6 Amendments to Australian Accounting Standards – Classification of Liabilities as Current or Non-current - Deferral of Effective Date
- AASB 2022-6 Amendments to Australian Accounting Standards – Classification Non-current Liabilities with Covenants
- AASB 2022-5 Amendments to Australian Accounting Standards – Lease Liability in a Sale and Leaseback
- AASB 2022-10 Amendments to Australian Accounting Standards - Fair Value Measurement of Non-Financial assets of Not-for-Profit Public Sector Entities

From 1 July 2025:

- AASB 2023-5 - Amendments to Australian Accounting Standards – Lack of Exchangeability
- AASB 2026-1 Amendments to Australian Accounting Standards – Disclosures about Uncertainties in the Financial Statements

Notes to the financial statements

FOR THE YEAR ENDED 30 JUNE 2026

24. Additional Consolidated Entity Information

Racing Victoria Limited is a consolidated entity incorporated and operating in Australia.

Principal Registered Office and Principal Place of Business

400 Epsom Road

Flemington Victoria 3031

Telephone: (03) 9258 4258

Consolidated Entity Disclosure Statement

FOR THE YEAR ENDED 30 JUNE 2026

Entity Name	Body Corporate, Partnership, or Trust	Place Incorporated / Formed	Share Capital % Held Directly or Indirectly by the Company in the Body Corporate		Australian or Foreign Tax Resident
			30 JUNE 2026	30 JUNE 2025	
Racing Victoria Ltd	Body Corporate	Australia	n/a	n/a	Australian
Racing.com Media Pty Ltd	Body Corporate	Australia	100%	100%	Australian
RVL Media Pty Ltd	Body Corporate	Australia	100%	100%	Australian
Racing.com Pty Ltd	Body Corporate	Australia	n/a	100%	Australian
Thoroughbred Racing Productions Pty Ltd	Body Corporate	Australia	100%	100%	Australian
VTRI Property Pty Ltd	Body Corporate	Australia	100%	100%	Australian

Racing.com Media Pty Ltd, RVL Media Pty Ltd, Racing.com Pty Ltd, and Thoroughbred Racing Productions Pty Ltd are all media related subsidiaries established for the primary purpose of the encouragement and promotion of Victorian thoroughbred horse racing, by holding, managing and exploiting media broadcasting and intellectual property rights, facilitating the payments for media rights to Racing Victoria, and undertaking any other activities the Board considers consistent with the encouragement and promotion of thoroughbred horse racing.

Racing.com Pty Ltd was deregistered on 19 February 2026.

VTRI Property Pty Ltd was established for the purpose of the encouragement and promotion of Victorian thoroughbred horse racing, as well as national and international thoroughbred horse racing, by the ownership and management of assets and provision of other services.

Basis of Preparation

The Consolidated Entity Disclosure Statement has been prepared in accordance with the Corporations Act 2001 and includes required information for each entity that was part of the consolidated entity as at the end of the financial year. The Consolidated Entity Disclosure Statement includes only those entities consolidated as at the end of the financial year in accordance with AASB 10 Consolidated Financial Statements (AASB 10). The consolidated entity is exempt from Income Tax under section 50-45 of the Income Tax Assessment Act.

Determination of Tax Residency

Section 295 (3A) of the Corporations Act 2001 defines tax residency as having the meaning in the Income Tax Assessment Act 1997. The determination of tax residency involves judgment as there are currently several different interpretations that could be adopted, and which could give rise to a different conclusion on residency. In determining tax residency, the consolidated entity has applied the following interpretations:

Australian Tax Residency

The consolidated entity has applied current legislation and judicial precedent, including having regard to the Tax Commissioner's public guidance (Tax Ruling TR 2018/5).